BERNSTEIN
SOCIETE GENERALE GROUP

20 October 2026

Price Target Change


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U.S. SMID-Cap Software

ServiceNow Inc

Rating

Outperform

Price Target

NOW **266.00 USD** (248.00 *OLD*)

ServiceNow (NOW): AI Native SKUs ~20% organic CAGR to FY28

With ServiceNow's Q3'26 earnings a week away, we've been double-checking our call that H2 would prove a potential catalyst for the stock to re-rate up. In our earlier notes we emphasized the combination of lapping US Federal downsizing and AI driven demand would provide lift in organic CC revenue growth, accelerating from the 18.0% "bottom" in Q1 to nearly 20% in Q4. These expectations exclude Moveworks and Armis, even though we expect their own organic growth in excess of ServiceNow's growth rate each quarter. But the one thing we didn't know: how large of a tailwind would the new "AI Native" SKUs offer. As we outlined in our note from early September, where we validated their $32B 2030 target seems attainable (here), we knew roughly the price increase, but did not have a lot of longitudinal evidence on actual take rate. Since then, we've been doing every-other week checks to get a sense of how they are trending, and we have some good news…

AI-Native SKU take rates are ~50%… accelerating Q4 growth by ~60-70bps, and support ~20% YoY growth through FY28. The take rate has remained in the ~50% range at renewal since they were introduced (including net new customers). In fact, contracts with any level of AI reached 80%+ in the latest weeks — in addition to AI Native SKUs, this would include moving from a POC for Pro Plus to an organization wide deployment, or buying newer AI-products standalone like EmployeeWorks. When we model adoption with the effective higher prices in like-for-like SKUs the company has indicated (~30% at the top end and ~20% for the lower end SKUs) we find that Q3 has a modest ~20 bps tailwind that rises towards ~60-70bps by Q4 (particularly due to the larger number of contracts). As it continues to roll forward through FY28 it peaks in the ~1.5-2% tailwind range before lapping the comps into FY29. We would expect 80%+ of customers to be on the AI Native SKUs by the end of FY28.

Close Date	19 Oct 2026
NOW Close Price (USD)	145.36
Price Target (USD)	266.00
Upside/(Downside)	83%
52-Week Range	192.97/81.24
SPX	7,690.73
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	150,302
EV (USD) (M)	154,091

Performance	YTD	1M	6M	12M
Absolute (%)	(5.1)	7.3	50.4	(19.6)
SPX (%)	12.3	0.5	7.9	15.4
Relative (%)	(17.5)	6.8	42.5	(35.0)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We raise our model incrementally to account for AI Native SKUs (1-2%+ in FY27-28). We do not include early renewal, which would be an added tailwind if / when it occurs. Using our 50/50 Ro40-based multiples regression (unchanged ~13x P/NTM revenue), and DCF (updated ~9.7% WACC due to stock price, unchanged 3% terminal growth) we raise our PT to $266 and maintain our Outperform rating.

Adjusted EPS	F25A	F26E	F27E
NOW (USD)	3.50	**3.93**	**4.77**
OLD	--	3.92	4.69

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	13,278	16,378	19,507	--
Cost of Goods Sold (M)	2,517	3,554	4,353	--
Operating Earnings (M)	4,149	5,244	6,465	--
FCF (M)	4,636	5,830	7,177	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	41.5	37.0	30.5
EV/FCF (x)	33.2	26.4	21.5
EV/Sales (x)	11.6	9.4	7.9
EV/EBITDA (x)	60.1	50.1	36.3

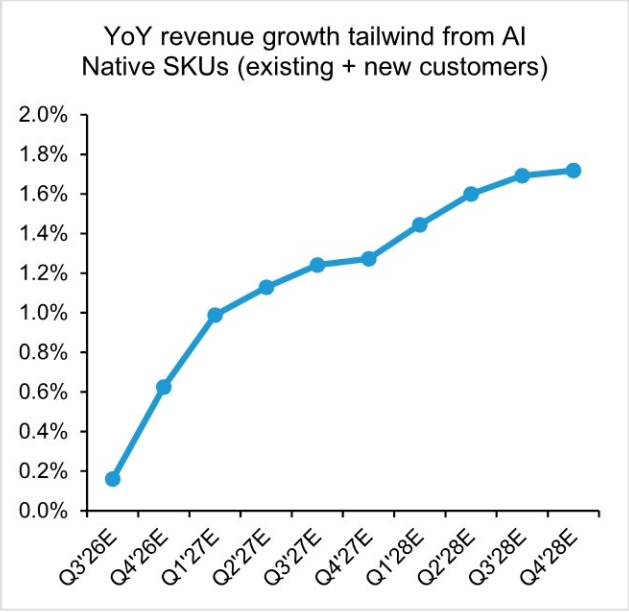
Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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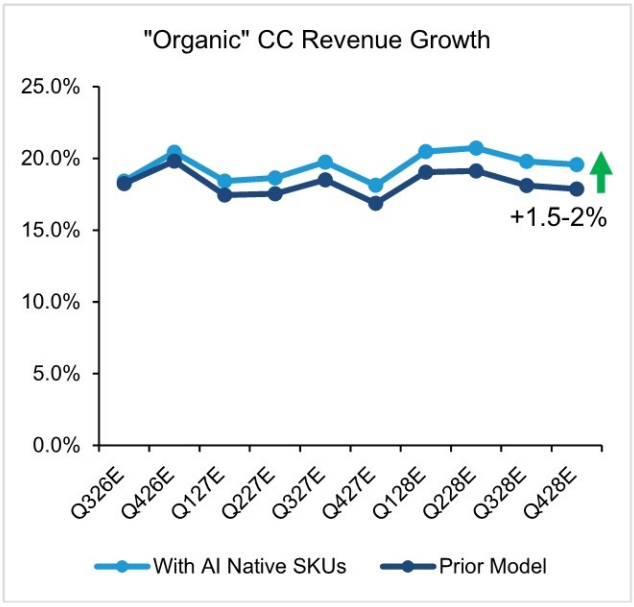
DETAILS

EXHIBIT 1: **We estimate the benefit of the new AI Native SKUs rises over the next couple years before peaking and decelerating thereafter.**



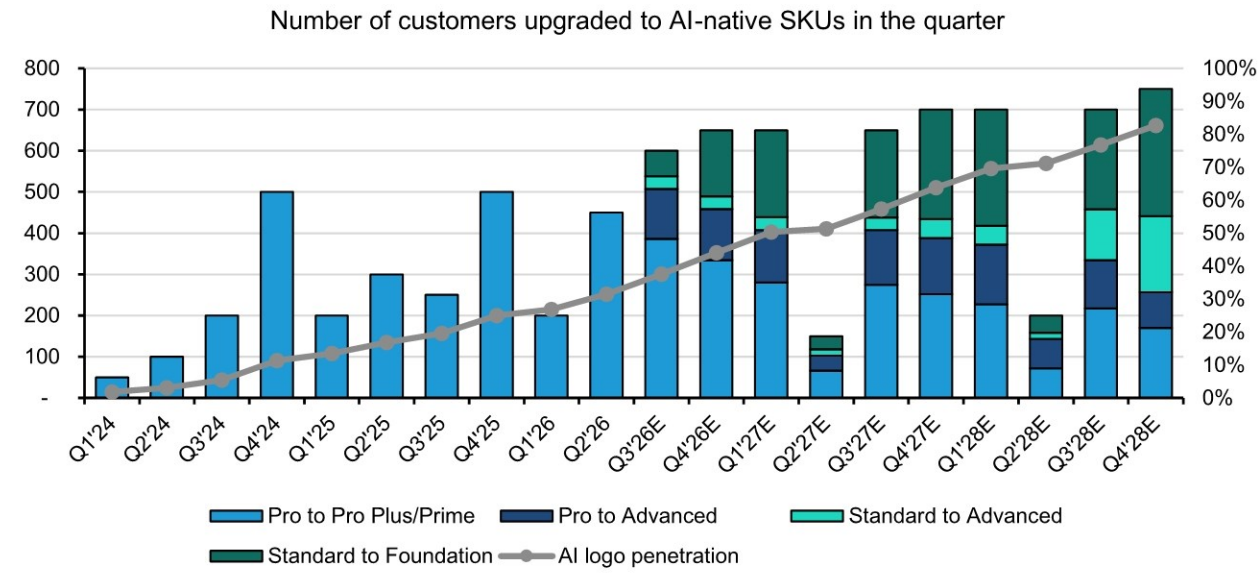
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: **Our updated model incorporating AI Native SKUs reaches ~20% YoY growth levels even in FY28**



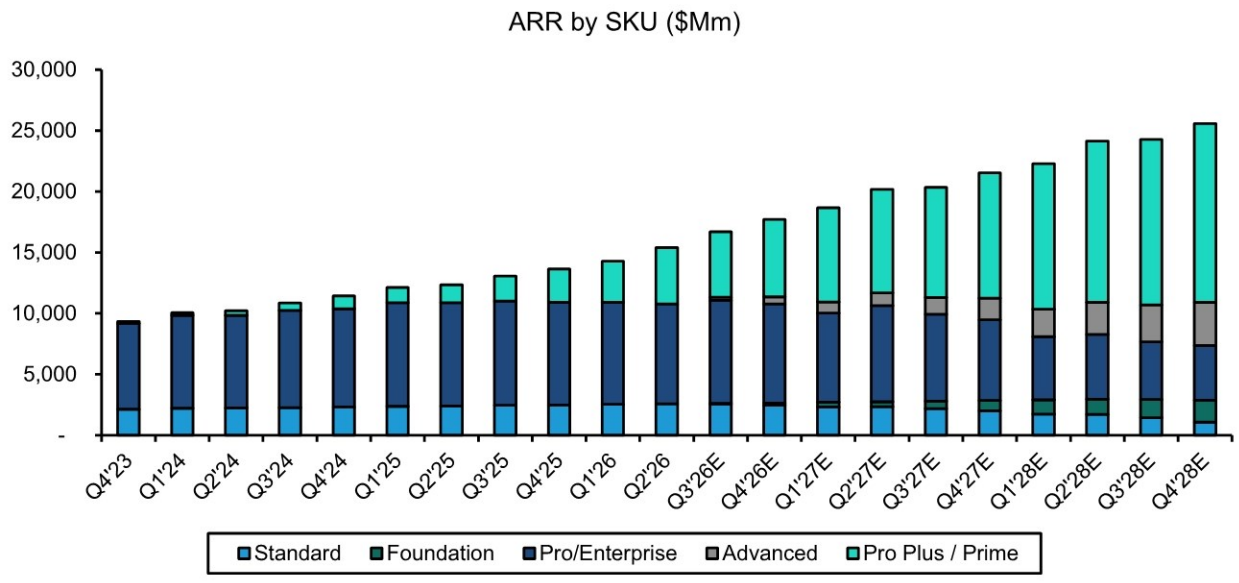
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 3: **Our model anticipates more than 80% of customers are on AI SKUs by the end of FY28. Much of the upside is in Standard to Foundation, or Standard to Advanced.**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 4: **Pro Plus/Prime make up more than half of all ACV by the end of FY28**



Source: Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 5: **ServiceNow Financial Summary**

ServiceNow $, Thousands Income Statement	2020 12/31/2020 2020	2021 12/31/2021 2021	2022 12/31/2022 2022	2023 12/31/2023 2023	2024 12/31/2024 2024	2025 12/31/2025 2025	Q126 3/31/2026 Q126	Q226 6/30/2026 Q226	Q326 9/30/2026 Q326	Q426 12/31/2026 Q426	2026 12/31/2026 2026	2027 12/31/2027 2027	2028 12/31/2028 2028
Total Revenue	**4,519,484**	**5,895,000**	**7,245,000**	**8,971,000**	**10,984,000**	**13,278,000**	**3,770,000**	**3,987,000**	**4,150,415**	**4,470,786**	**16,378,201**	**19,506,671**	**23,418,780**
Cost of Revenue (Non-GAAP)	801,479	1,102,000	1,275,000	1,590,000	1,907,000	2,517,000	782,000	880,000	906,040	985,735	3,553,775	4,352,725	5,096,782
Gross Profit (Non-GAAP)	**3,718,005**	**4,793,000**	**5,970,000**	**7,381,000**	**9,077,000**	**10,761,000**	**2,988,000**	**3,107,000**	**3,244,375**	**3,485,051**	**12,824,426**	**15,153,946**	**18,321,998**
R&D (Non-GAAP)	740,263	990,000	1,252,000	1,513,000	1,862,000	2,148,000	582,000	613,000	628,275	645,833	2,469,108	2,898,971	3,430,253
S&M (Non-GAAP)	1,533,427	1,903,000	2,355,000	2,796,000	3,288,000	3,755,000	1,041,000	1,116,000	1,025,184	1,144,713	4,326,897	4,921,147	5,732,708
G&A (Non-GAAP)	323,094	418,000	503,000	583,000	673,000	709,000	166,000	206,000	201,093	211,925	785,017	869,107	946,227
Total Operating Expenses (Non-GAAP)	2,596,784	3,310,000	4,110,000	4,892,000	5,823,000	6,612,000	1,789,000	1,935,000	1,854,552	2,002,470	7,581,022	8,689,224	10,109,188
Operating Income (Non-GAAP)	**1,121,221**	**1,483,000**	**1,860,000**	**2,489,000**	**3,254,000**	**4,149,000**	**1,199,000**	**1,173,000**	**1,389,824**	**1,482,580**	**5,244,404**	**6,464,722**	**8,212,810**
Margin %	25%	25%	26%	28%	30%	31%	32%	29%	33%	33%	32%	33%	35%
Interest income and other, net	21,411	3,000	44,000	246,000	374,000	437,000	170,000	276,000	82,786	88,129	616,915	558,446	868,968
[Non-GAAP] Earnings before taxes	**1,142,632**	**1,486,000**	**1,904,000**	**2,735,000**	**3,628,000**	**4,586,000**	**1,369,000**	**1,449,000**	**1,472,610**	**1,570,709**	**5,861,319**	**7,023,168**	**9,081,778**
Provision for income taxes	217,100	283,000	361,000	520,000	726,000	917,000	357,000	519,000	441,783	471,213	1,788,996	2,106,950	2,724,533
Net income (loss)	**925,532**	**1,203,000**	**1,543,000**	**2,215,000**	**2,902,000**	**3,669,000**	**1,012,000**	**930,000**	**1,030,827**	**1,099,497**	**4,072,323**	**4,916,218**	**6,357,245**
Net income attributable to common shareholders	**925,532**	**1,203,000**	**1,543,000**	**2,215,000**	**2,902,000**	**3,669,000**	**1,012,000**	**930,000**	**1,030,827**	**1,099,497**	**4,072,323**	**4,916,218**	**6,357,245**
Earnings (loss) per share - Basic	$0.96	$1.21	$1.50	$2.17	$2.82	$3.54	$0.98	$0.90	$1.00	$1.06	$3.94	$4.77	$6.19
Earnings (loss) per share - Diluted	**$1.77**	**$1.19**	**$1.52**	**$2.15**	**$2.78**	**$3.50**	**$0.97**	**$0.90**	**$1.00**	**$1.06**	**$3.93**	**$4.77**	**$6.19**
Balance Sheet	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**Q126**	**Q226**	**Q326**	**Q426**	**2026**	**2027**	**2028**
Cash and cash equivalents	1,676,794	1,728,000	1,470,000	1,897,000	2,304,000	3,726,000	2,702,000	2,503,000	2,678,780	3,829,744	3,829,744	7,169,263	10,358,831
Short-term investments	1,415,242	1,576,000	2,810,000	2,980,000	3,458,000	2,558,000	2,480,000	2,161,000	2,286,228	2,723,378	2,723,378	3,682,369	5,219,614
Receivables	1,009,415	1,390,000	1,725,000	2,036,000	2,240,000	2,627,000	1,713,000	2,201,000	1,885,777	3,127,107	3,127,107	3,666,915	4,035,983
Other current assets	420,391	526,000	649,000	864,000	1,185,000	1,560,000	1,540,000	1,649,000	2,057,595	1,988,583	1,988,583	2,004,050	2,064,482
Total current assets	**4,521,842**	**5,220,000**	**6,654,000**	**7,777,000**	**9,187,000**	**10,471,000**	**8,435,000**	**8,514,000**	**8,908,381**	**11,668,812**	**11,668,812**	**16,522,597**	**21,678,911**
Total PPE	659,641	766,000	1,053,000	1,358,000	1,763,000	2,289,000	2,250,000	2,177,000	2,295,270	2,426,746	2,426,746	2,670,812	3,031,921
Other assets	3,533,574	4,812,000	5,592,000	8,252,000	9,433,000	13,278,000	13,696,000	20,975,000	21,056,275	21,821,150	21,821,150	23,502,837	26,831,424
Total assets	**8,715,057**	**10,798,000**	**13,299,000**	**17,387,000**	**20,383,000**	**26,038,000**	**24,381,000**	**31,666,000**	**32,259,926**	**35,916,708**	**35,916,708**	**42,696,246**	**51,542,256**
Accounts payable	34,236	89,000	274,000	126,000	68,000	204,000	427,000	162,000	203,198	296,760	296,760	348,455	460,089
Other current liabilities	3,702,908	4,860,000	5,731,000	7,239,000	8,290,000	10,239,000	9,556,000	11,991,000	11,570,068	14,060,538	14,060,538	15,853,167	17,893,512
Total current liabilities	**3,737,144**	**4,949,000**	**6,005,000**	**7,365,000**	**8,358,000**	**10,443,000**	**9,983,000**	**12,153,000**	**11,773,266**	**14,357,298**	**14,357,298**	**16,201,622**	**18,353,601**
Deferred revenue, non-current	45,346	63,000	70,000	81,000	95,000	120,000	99,000	135,000	118,179	143,581	143,581	163,767	185,858
Other liabilities, non-current	2,098,086	2,091,000	2,192,000	2,313,000	2,321,000	2,511,000	2,571,000	6,862,000	6,862,000	6,862,000	6,862,000	6,862,000	6,862,000
Total non-current liabilites	**2,143,432**	**2,154,000**	**2,262,000**	**2,394,000**	**2,416,000**	**2,631,000**	**2,670,000**	**6,997,000**	**6,980,179**	**7,005,581**	**7,005,581**	**7,025,767**	**7,047,858**
Total Liabilities	**5,880,576**	**7,103,000**	**8,267,000**	**9,759,000**	**10,774,000**	**13,074,000**	**12,653,000**	**19,150,000**	**18,753,445**	**21,362,879**	**21,362,879**	**23,227,389**	**25,401,459**
Total Equity	**2,834,481**	**3,695,000**	**5,032,000**	**7,628,000**	**9,609,000**	**12,964,000**	**11,728,000**	**12,516,000**	**13,506,481**	**14,553,830**	**14,553,830**	**19,468,857**	**26,140,796**
Total Liabilities and Equity	**8,715,057**	**10,798,000**	**13,299,000**	**17,387,000**	**20,383,000**	**26,038,000**	**24,381,000**	**31,666,000**	**32,259,926**	**35,916,708**	**35,916,708**	**42,696,246**	**51,542,256**
Balance Sheet Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow Statement	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**Q126**	**Q226**	**Q326**	**Q426**	**2026**	**2027**	**2028**
Cash used for operating actitivites	1,786,599	2,191,000	2,723,000	3,398,000	4,267,000	5,444,000	1,670,000	587,000	1,019,359	3,028,450	6,304,809	8,147,972	10,050,914
Cash used for investing actitivites	(1,506,872)	(1,607,000)	(2,583,000)	(2,167,000)	(2,685,000)	(1,689,000)	(451,000)	(6,654,000)	(687,245)	(1,687,801)	(9,480,045)	(4,036,825)	(6,054,564)
Cash used for financing actitivites	596,647	(506,000)	(344,000)	(803,000)	(1,159,000)	(2,340,000)	(2,236,000)	5,874,000	(156,334)	(189,686)	3,291,980	(771,627)	(806,783)
Increase (decrease) in cash, cash equivalents, and re	**901,439**	**53,000**	**(257,000)**	**429,000**	**406,000**	**1,422,000**	**(1,022,000)**	**(193,000)**	**175,780**	**1,150,964**	**111,744**	**3,339,519**	**3,189,568**
cash, cash equivalents and restricted cash at beginni	777,991	1,679,430	1,732,000	1,475,000	1,904,000	2,310,000	3,732,000	2,710,000	2,517,000	2,692,780	3,732,000	3,843,744	7,183,263
Cash, cash equivalents and restricted cash at end of	**1,679,430**	**1,732,000**	**1,475,000**	**1,904,000**	**2,310,000**	**3,732,000**	**2,710,000**	**2,517,000**	**2,692,780**	**3,843,744**	**3,843,744**	**7,183,263**	**10,372,831**
Cash flow from operations	**1,786,599**	**2,191,000**	**2,723,000**	**3,398,000**	**4,267,000**	**5,444,000**	**1,670,000**	**587,000**	**1,019,359**	**3,028,450**	**6,304,809**	**8,147,972**	**10,050,914**
Adj. FCF	**1,448,272**	**1,867,000**	**2,178,000**	**2,728,000**	**3,438,000**	**4,636,000**	**1,665,000**	**634,000**	**772,429**	**2,758,774**	**5,830,204**	**7,177,388**	**8,815,300**

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			19 Oct 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
NOW (ServiceNow)	O	USD	145.36	**266.00**	(35.0)%	USD	3.50	**3.93**	**4.77**	41.5	37.0	30.5
OLD				248.00				3.92	4.69			
SPX			7,690.73									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY

ServiceNow Inc

Our price target of $266 is an equal 50/50 average of DCF (with ~9.7% WACC and 3% terminal growth) and 13x Price / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is based on our rule-of-40 sector valuation regression. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS

ServiceNow Inc

Downside risks beyond the macroeconomic risks include: larger industry players deploy defense or better products to increase client retention and compete with ServiceNow; fail to develop new solutions and expand to new TAM; a slowdown in revenue growth could lead to a decrease in investor confidence, leading to a multiple contraction.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

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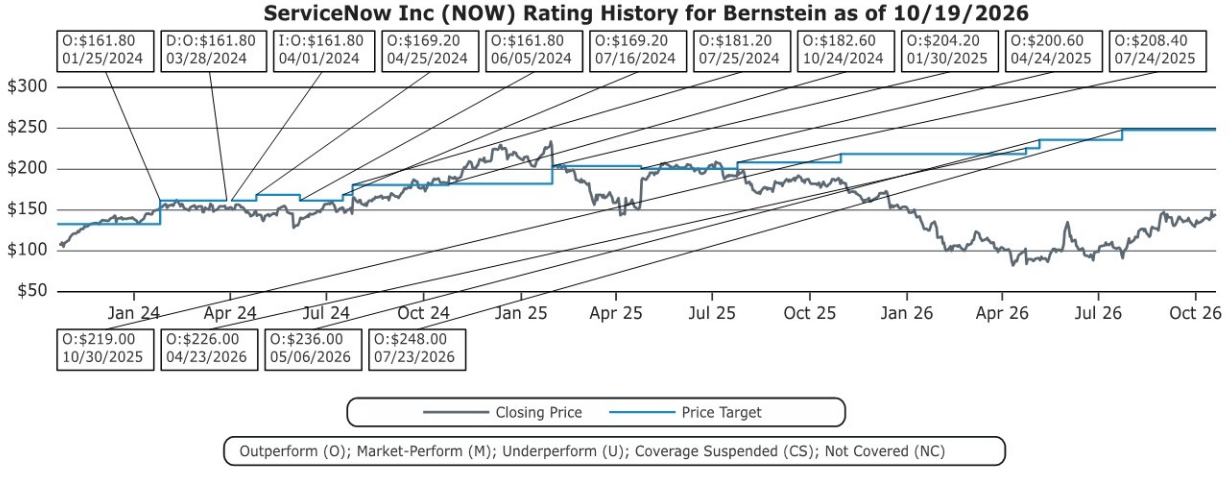
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